



general case studies rarely help. Every business is unique. Success does not follow a script—it follows your ability to move forward, one successful decision at a time. One must be ready to work within one's means and business context.

Years ago, when someone said they were 'starting a business,' it usually meant they had lost a job, given up an academic or government service, or failed a competitive exam. A few were drawn to an opportunity they perceived as a more valuable use of their time in life. Their family and acquaintances generally did not encourage them in India. Today, the situation is somewhat better in that respect of social excitement. But, not all such business enterprises can be called a startup.

The intention behind the word 'startup' is rapid scalability, and it is important to understand that. For example, running a local tea stall is a form of self-employment—honest, hardworking, and often sustainable. But building the next Starbucks—that is a startup. Scalability originates from the economies of scale—the ability of the enterprise to grow profitability (acceleration of profits) in relation to its revenue growth. That is where venture capitalists enter the picture.

India is a nation of traders, businessmen, and entrepreneurs. Approximately 65% of earners operate businesses, while fewer than 30% hold formal jobs. Grassroots entrepreneurship is both widespread and vital to the economy. It is not limited to startups or large companies, but includes daily ventures—a vegetable vendor managing sourcing, supply chain, and sales, servicing a high-interest loan is also running a business with a dynamic strategy.

Success and failure in startups, beyond the hype...

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likely to succeed. But the picture is more nuanced. Some business models, like product distribution or services in renovation, plumbing, or electrical work, have a higher probability of success. Yet even in these, 60-70% still fail, mostly due to capital exhaustion, often within 10 years. Surviving beyond that 10-year mark usually signals cash flow, profitability, and resilience. The truth is, business operations are complex, and success is rarely just about the idea.

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Suppose I represent Toyota—I am not making the product; Toyota handles production, marketing, and sales strategy. They give me a price, and I open a dealership, manage inventory, treat customers well, and sell the cars. My main job is operational—managing working capital, paying Toyota for stock, and ensuring I sell the cars quickly enough to recoup the investment and earn a small profit, all while serving a specific area in the city. This business model is not innovative; it is operational and about execution. And over 60% of such businesses fail, often due to bad execution.

Now, when you are starting a technology startup, such as inventing a vaccine or something completely new, the probability of success is very low—less than 1%,

approximately 1 out of 400. This is because such startups involve fundamental research and development of new technology, where no one knows precisely how to do it yet. People starting a business need to understand the type of business they are starting and choose their path accordingly.

Do you remember the story of Edison and Tesla? Edison was more of a businessman than a scientist. He started his first business at the age of 15 by distributing newspapers, an innovation at the time that he knew could make money. Most of his inventions were based on electromagnetic theory and the technological advancements of the time. This is known as the Edison quadrant—a well-understood technology with immediate market applications.

On the other hand, Tesla pioneered new technology development without a clear commercial application strategy. Unfortunately, he died poor, showing the reality of success in science versus commercial applications.

Today, we hear many buzzwords like artificial intelligence (AI), generative AI, agentic AI, and artificial general intelligence. Most of the audience understands terms like LLM and their commercial use. This is application innovation—relatively low risk and mainly market risk, not product risk. For example, services like Swiggy, Zomato, Ola use cloud-based internet technology to deliver food or rides. However, starting a digital laundry service would be less successful because the affordable alternatives do not justify it. So, application innovation must achieve innovation adoption (customer experience) and sustained usage (customer success).

When considering any business, you must assess the market's size and the likelihood of continued